

Micron Technology, Inc.

NASDAQ: MU

Riding the AI Memory Supercycle:

HBM4 Leadership, Sold-Out 2026 Capacity, and a Multi-Year Earnings Re-Rate

BUY

12-Month Price Target: \$895 (+34% upside)

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As of May 6, 2026 | Last close: \$668.06

SNAPSHOT

Investment Recommendation: BUY — Price Target \$895

RATING

BUY

12-MONTH PRICE TARGET

\$895

IMPLIED RETURN

+34.0%

CURRENT PRICE

\$668.06

MARKET CAP

~\$748B

FY27E EPS / TARGET MULT.

\$74.50 / 12.0x

Why MU, Why Now

1 HBM Sold Out Through CY26

Entire 2026 HBM supply, including HBM4, contracted under multi-year LTAs — including MU's first-ever 5-year customer agreement.

2 NVIDIA Vera Rubin Win

Volume shipping HBM4 36GB 12-high (>11 Gb/s, 2.8 TB/s, +2.3x bandwidth vs HBM3E) — qualified at the marquee AI customer.

3 Structural DRAM Tightness

AI consumes ~20% of CY26 wafer capacity; 1GB HBM = 4x standard DRAM wafer cost; server DRAM contract +60%+ QoQ.

4 Earnings Inflection Underway

FQ2'26 GM 75% (+18 pts QoQ); FQ3'26 guide \$33.5B / 81% GM / \$19.15 EPS implies \$76+ run-rate EPS.

5 Valuation Disconnect

Forward P/E ~7x on consensus despite 5-yr LTAs and binding capacity bookings — re-rate to 10–12x earned, not paid for.

Sources: Micron FQ2'26 earnings release & call (Mar 2026); Company press releases; TrendForce; Counterpoint; analyst estimates. Price as of 5/6/26.

INVESTMENT THESIS

Four Pillars Underpin a Multi-Year Earnings Re-Rate



PILLAR 01

AI Demand Supercycle

HBM TAM ~\$35B (2025) → ~\$100B (2028E) at ~40% CAGR. Hyperscalers' multi-year capex commitments lock in demand visibility unprecedented for memory.



PILLAR 02

Tech & Customer Wins

HBM4 in volume production for NVIDIA Vera Rubin: >11 Gb/s, 2.8 TB/s, +20% power efficiency. Sole HBM IDM with US-based advanced packaging.



PILLAR 03

Structural Supply Discipline

HBM consumes ~3-4x DRAM wafer per bit; the 'big three' have rationally allocated capacity to AI, leaving conventional DRAM tight into 2027.



PILLAR 04

FCF & Capital Returns

FY26E op cash flow >\$30B funds the ~\$20B capex ramp; remaining FCF supports buybacks (re-instated) and a path to investment-grade balance sheet.

Sources: Micron Investor Day (Sept 2025); Micron FQ2'26 release (Mar 2026); Counterpoint Research; TrendForce; Bloomberg consensus.

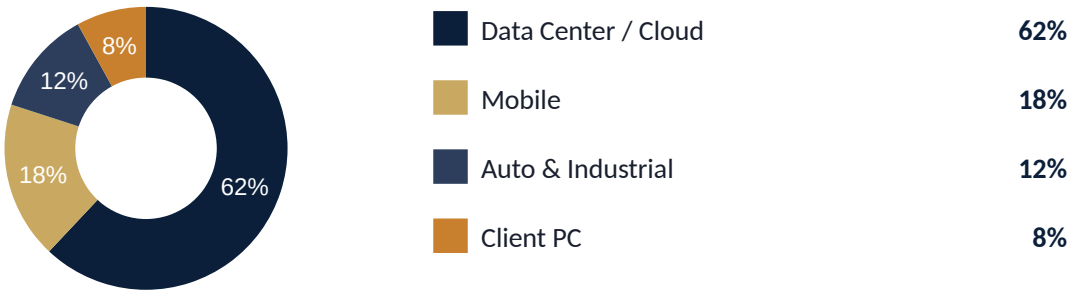
COMPANY OVERVIEW

A Pure-Play DRAM/NAND Leader Pivoted to AI Infrastructure

Snapshot

Founded / HQ	1978 / Boise, Idaho
Employees	~48,000 globally
End Markets	Data center, mobile, auto, industrial, client PC
Product Mix (FQ2'26)	DRAM ~78% / NAND ~22%
#1 / #2 Position	DDR5, LPDDR, HBM (Tier-1), NAND (Top-3)
Mfg Footprint	USA, Taiwan, Japan, Singapore, Malaysia, China
FY26E Capex	~\$20B (raised from ~\$18B)
Capital Return	Dividend reinstated; opportunistic buybacks
Credit Profile	BBB- (S&P, Pos.); deleveraging on FCF inflection

FQ2'26 Revenue by End Market



Recent Quarterly Records

Revenue (FQ2'26)	Gross Margin	FQ3'26 Rev Guide	FQ3'26 EPS Guide
\$23.86B	75.0%	\$33.5B	\$19.15
+75% QoQ	+18 pts QoQ	+40% QoQ	Record

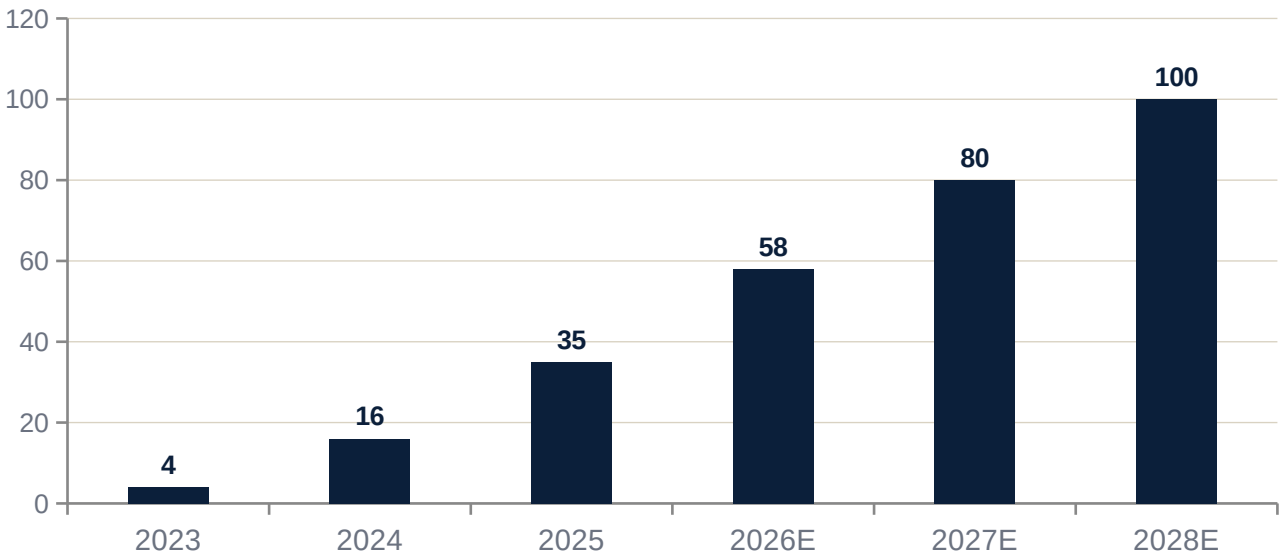
Sources: Micron 10-K FY25; FQ2'26 earnings release & prepared remarks; S&P Global Ratings; estimates as Brandon Leone.

INDUSTRY BACKDROP

The AI Memory Supercycle: HBM TAM ~3x Through 2028E

HBM Total Addressable Market (\$B)

~40% CAGR 2025–2028E | Source: Micron Investor Day, TrendForce



~70%

of all memory chips now consumed by data centers

~20%

of CY26 global DRAM wafer capacity allocated to AI

4x

wafer capacity required per GB of HBM vs. standard DRAM

+60%

QoQ server DRAM contract price increase in Q1'26

Implication

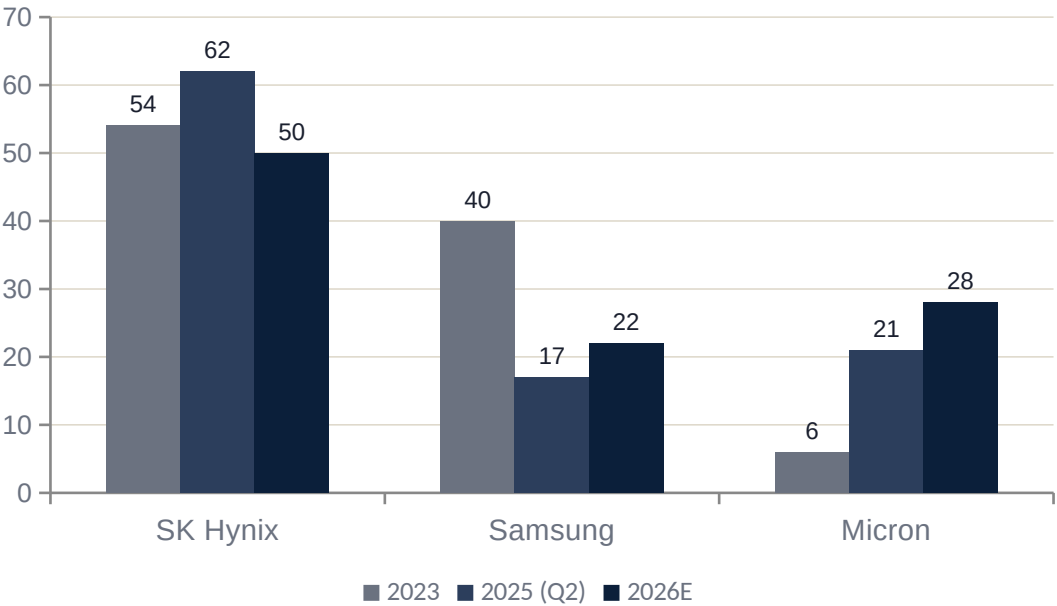
AI demand has fundamentally re-shaped DRAM supply allocation; conventional DRAM remains tight, and the marginal HBM bit is now structurally scarce. This is a multi-year pricing tailwind, not a cyclical one — and Micron's leverage is ~\$0.10–\$0.15 of incremental EPS for every 1% of HBM-driven mix shift.

Sources: Micron FY26 Outlook (Sept '25 IR Day); TrendForce 1Q26 HBM report; Counterpoint; IDC; SK hynix outlook deck (Jan '26).

COMPETITIVE LANDSCAPE

Three-Player Oligopoly: Micron Closes the Gap, Leads on HBM4

HBM Market Share (%)



SK Hynix

INCUMBENT — HBM3E LEAD

Largest HBM share (~62% Q2'25); deeply integrated with NVIDIA on Hopper/Blackwell. Goldman expects SK to retain >50% HBM share through 2026, but HBM4 share at NVIDIA Rubin is still being divided.

Samsung

RECOVERING — HBM3E QUALIFICATION

Slipped to #3 in Q2'25 (~17%); HBM3E qualification at major customers progressing. Counterpoint sees share recovery toward 30%+ as HBM4 ramps, but executional risk remains.

Micron

MOMENTUM — HBM4 LEADER

Leapfrogged Samsung in 1H25; first to volume on HBM4 36GB 12-high for NVIDIA Vera Rubin. >11 Gb/s, 2.8 TB/s, +20% power efficiency vs HBM3E. CY26 sold out; 5-yr LTA secured.

Bottom Line

HBM is a three-player oligopoly with rational supply behavior. Micron's HBM4 timing advantage at NVIDIA Vera Rubin should drive share toward ~28% by year-end CY26 — a 7pt gain at premium ASPs.

Sources: TrendForce HBM Industry Analysis 1Q26; Counterpoint Research; UBS, Goldman Sachs research notes (Jan-Mar '26); Micron and SK hynix earnings.

PRODUCT CATALYST

HBM4: Volume Ramp Into NVIDIA Vera Rubin Cements Tier-1 Status

Micron HBM4 vs HBM3E — Step-Change in Performance

Spec	HBM3E (Prior Gen)	HBM4 (Current)
Pin Speed	9.2 Gb/s	>11 Gb/s
Bandwidth per Stack	1.2 TB/s	2.8 TB/s (+2.3x)
Capacity (12-high)	36 GB	36 GB → 48 GB (16-hi)
Power Efficiency	Baseline	+20% vs HBM3E
Lead Customer	Various	NVIDIA Vera Rubin
Status	Mature	Volume shipping (Q1'26)

Commercial Lock-In

- ✓ **Entire CY26 HBM Capacity**
Sold out under multi-year, binding LTAs covering both price AND volume — extremely rare for memory.
- ✓ **First-Ever 5-Year LTA**
First five-year customer agreement in MU history — eliminates near-term cycle risk for HBM.
- ✓ **NVIDIA Vera Rubin (GTC '26)**
HBM4 36GB 12H qualified and in volume; complementary SOCAMM2 and PCIe Gen6 SSD wins position MU as full-stack AI memory supplier.
- ✓ **HBM4E (7th Gen) — 2027**
Already shipping 16-stack 48GB samples; mass production planned next year, maintaining cadence vs SK hynix.

So What

Volume HBM4 + binding LTAs = unprecedented earnings visibility for a memory company. We model HBM revenue rising from ~\$8B (FY25) to ~\$32B (FY27E), at >55% gross margins — the single largest driver of the price target.

Sources: Micron press release (Mar 16, 2026); NVIDIA GTC '26 announcements; Tom's Hardware; Storage Newsletter; HPCwire; analyst estimates.

RECENT QUARTERLY PERFORMANCE

FQ2'26: Record Revenue, Margins, and EPS — Inflection Confirmed

REVENUE

\$23.86B

+75% QoQ / +196% YoY

GROSS MARGIN

75.0%

+18 pts QoQ

OPERATING MARGIN

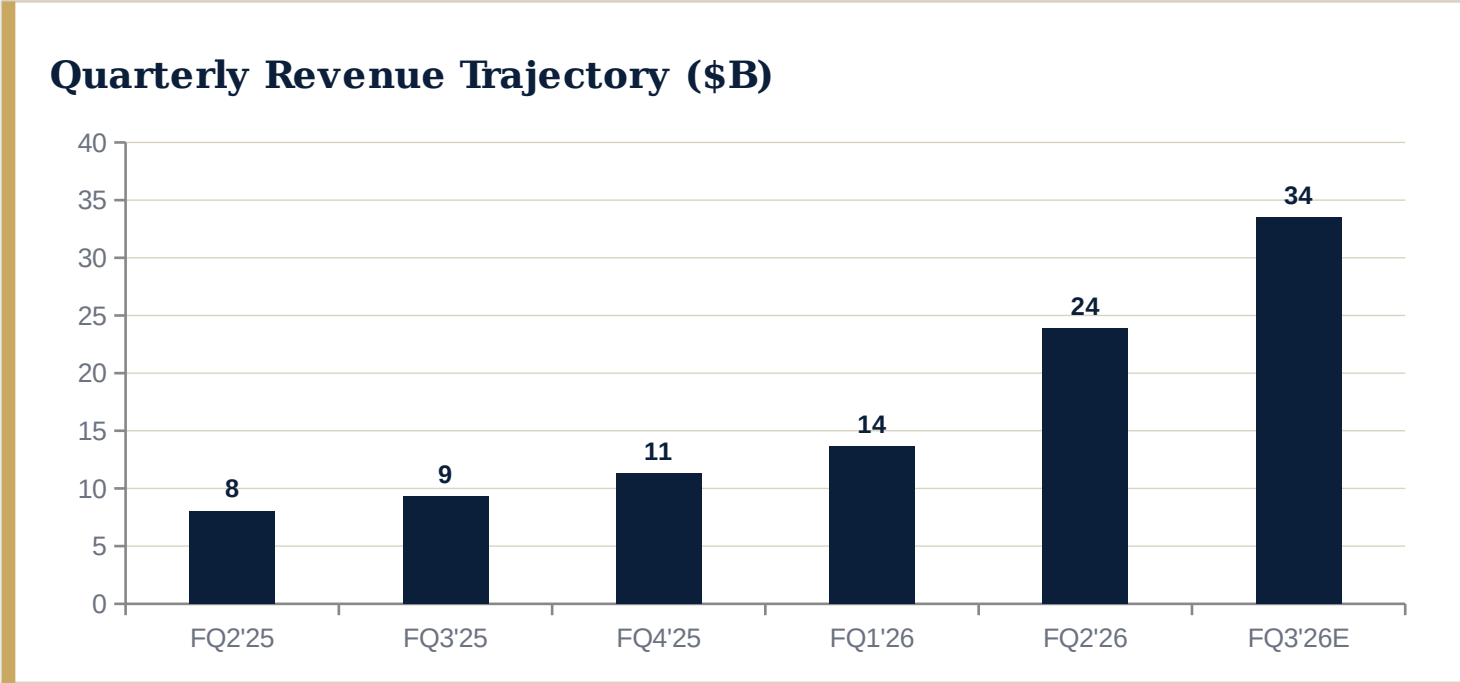
~62%

Record

EPS (DILUTED)

Record

Beat by ~38%



FQ3'26 Guidance

Revenue

\$33.5B ± \$750M

Record

Gross Margin

~81.0%

+6 pts QoQ

Diluted EPS

\$19.15 ± \$0.40

Annualizes ~\$77

Capex

~\$5-6B / Qtr

FY26 raised to ~\$20B

Sources: Micron FQ2'26 earnings release & call (Mar 18, 2026); Q1'26 release (Dec 17, 2025); company prepared remarks; Quartr.

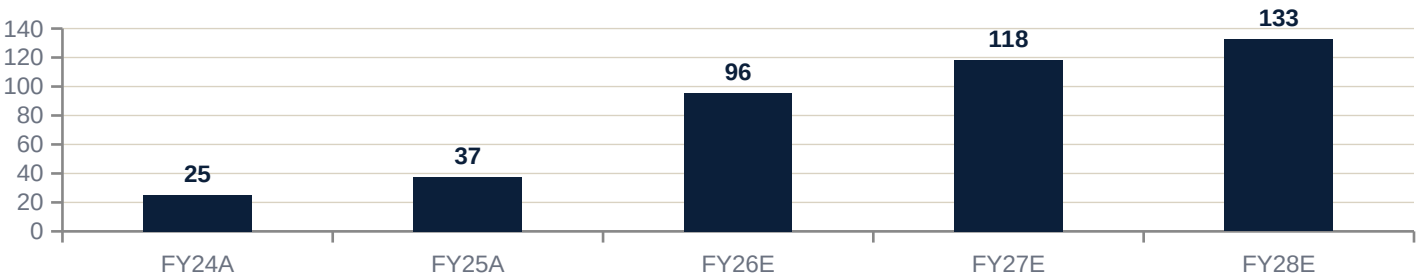
FORWARD FINANCIAL PROJECTIONS

Estimates: HBM Mix Drives Revenue, Margin, and FCF Through FY28E

Annual P&L Summary | \$ in millions, except per-share

\$ millions	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	\$25,111	\$37,400	\$95,500	\$118,200	\$132,500
YoY Growth	62%	49%	155%	24%	12%
Gross Profit	\$5,650	\$14,200	\$67,800	\$84,500	\$93,500
GM %	22.5%	38.0%	71.0%	71.5%	70.6%
Operating Income	\$3,260	\$10,700	\$58,400	\$73,000	\$80,500
Diluted EPS	\$1.30	\$7.80	\$48.50	\$74.50	\$82.00
Capex	\$8,100	\$13,800	\$20,000	\$23,500	\$25,000
Free Cash Flow	\$(400)	\$2,900	\$22,500	\$36,000	\$42,000

Revenue Trajectory (\$B) — FY24A → FY28E



FY27E EPS **\$74.50** *Driven by 71%+ GM*

FY27E FCF **\$36B+** *Funds capex + buybacks*

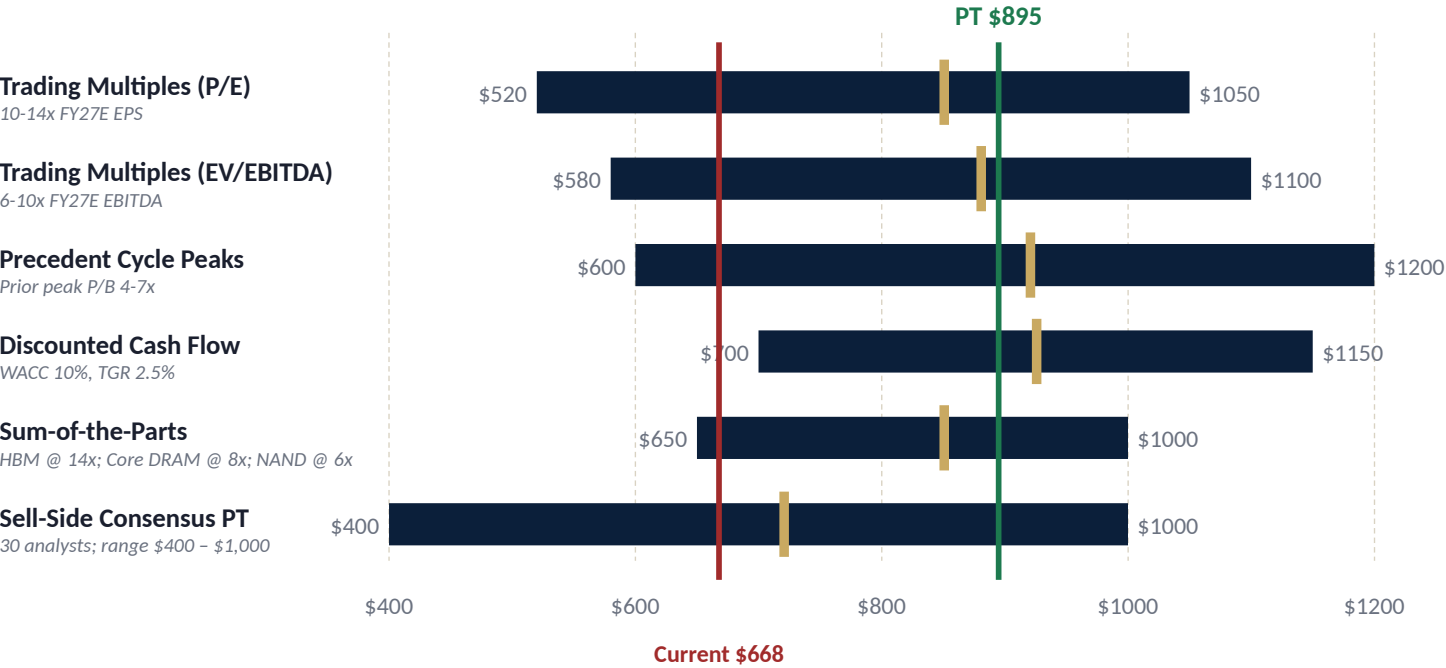
EPS CAGR FY25-28E **+120%** *Step-function inflection*

Sources: Brandon Leone estimates; Bloomberg consensus; Micron FQ2'26 guide; FY years end August. EPS reflects ~1.15B diluted shares.

VALUATION

Triangulating to a \$895 Price Target — Football Field Analysis

Valuation Football Field — Implied Share Price (\$)



Price Target Build

FY27E EPS	\$74.50
× Target P/E Multiple	12.0x
= 12-Month Price Target	\$895
Current Price	\$668.06
Implied Upside	+34.0%
+ Dividend Yield	~0.7%
= Total Return	+34.7%

Sources: Brandon Leone estimates; FactSet / Bloomberg consensus; sell-side notes (Apr-May '26). DCF uses 10% WACC, 2.5% terminal growth, NTM exit multiple of 9x EBITDA.

BULL / BASE / BEAR SCENARIOS

Risk-Reward: Skewed Favorably Even Against a Hard Memory Reset

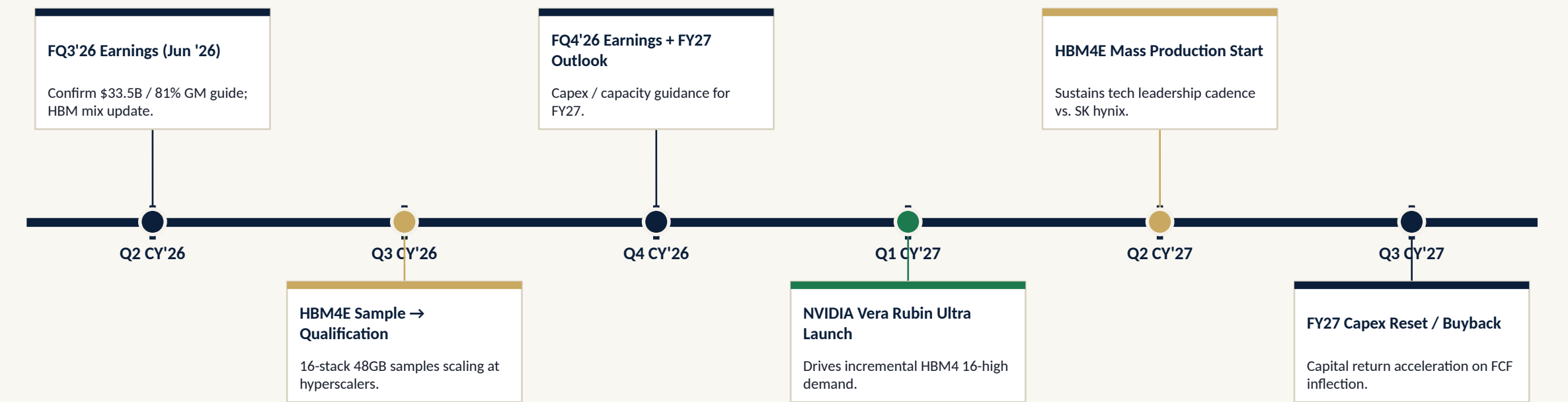
BEAR Probability: 20% Price Target \$475 -29% FY27E EPS \$52 Target P/E 9.0x KEY DRIVERS China (CXMT) ramps to 300K wpm faster than expected; DDR5 oversupply by 2H'26. AI capex digestion at hyperscalers cuts HBM bookings ~15%; pricing rolls over. Margins compress to mid-50s as conventional DRAM pricing normalizes.	BASE Probability: 55% Price Target \$895 +34% FY27E EPS \$74.50 Target P/E 12.0x KEY DRIVERS HBM4 ships to plan; CY26 capacity sells through; HBM4E qualifies in 2H'27. Conventional DRAM pricing remains tight through FY27 on AI-driven capacity diversion. Margins stabilize at mid-60s through-cycle; FCF funds buybacks at \$1.5–2.0B/yr pace.	BULL Probability: 25% Price Target \$1,150 +72% FY27E EPS \$82 Target P/E 14.0x KEY DRIVERS Multi-year HBM LTAs extend to 2028+; HBM4E ramp pulls in by 6 months. Samsung HBM4 qualification slips; MU captures incremental NVIDIA share. Investment-grade upgrade compresses cost of capital; multiple re-rate to 14x.
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Probability-weighted PT: \$865 (+29% expected return) | Reward/Risk ~2.6:1 vs. Bear case

Sources: Brandon Leone scenario model; sensitivities to HBM bit growth, ASP, gross margin; FY27E EPS = \$74.50 base case.

CATALYSTS

Near-Term Catalysts: Multiple Inflections Through CY27



Watch List: Quantitative Catalysts We're Tracking

KPI	Current	Bull Trigger	Bear Trigger
HBM Market Share	~21%	>28% by YE26	<18% YE26
DRAM ASP QoQ	+60% (Q1'26)	+30%+ Q3'26	Roll-over Q3'26
FY27 Capex Guide	TBD (~\$23B est.)	<\$24B (disc.)	>\$28B (over-supply)

Sources: Micron earnings calendar; NVIDIA roadmap (GTC '26); Brandon Leone estimates.

RISK ASSESSMENT

Key Risks — All Material, None Sufficient to Invalidate the Thesis



China / CXMT Supply Risk

MEDIUM

ChangXin (CXMT) ramping to 300K wpm by 2026, pivoting from DDR4 to DDR5/HBM. Could pressure conventional DRAM by 2027.

Mitigant: HBM3E/HBM4 has high tech moat; CXMT not yet in HBM3E; US export controls limit advanced equipment access.



AI Capex Digestion

MEDIUM

Hyperscaler capex moderation in 2H'26 could pull HBM bookings forward and create a 2027 air-pocket.

Mitigant: 5-year LTAs with binding pricing/volume materially de-risk the next 24 months.



HBM Yield / Execution

MEDIUM

HBM4 12-high yield ramp at NVIDIA volume requires sustained mfg execution; any slip cedes share to SK hynix.

Mitigant: HBM4 already in volume production (Mar '26); 1-gamma DRAM node maturing on plan.



Customer Concentration

MEDIUM

NVIDIA represents ~25% of FY26E HBM revenue; loss of share at next platform would be material.

Mitigant: Diversifying with hyperscaler ASIC (TPU, MTIA, MAIA) wins; Vera Rubin already qualified.



Geopolitical / Tariff

LOW-MED

Taiwan exposure, China revenue ban / restrictions, and US-China tech decoupling create tail risks to demand.

Mitigant: \$200B US footprint commitment (Idaho, NY, VA) anchors strategic-asset positioning.



Cyclical / Memory Reset

MEDIUM

Memory remains historically cyclical — a hard reset would compress multiples even if EPS holds.

Mitigant: Through-cycle GM trough has structurally risen; HBM mix should dampen swings.

Sources: Micron 10-K risk factors; S&P Global Ratings note; Digitimes; TrendForce; Brandon Leone analysis.

Initiate at BUY with \$895 Price Target

MU is the highest-conviction way to own the AI memory supercycle into 2027

01

Earnings, Not Hype

FQ3'26 guide of \$19.15 EPS implies ~\$76 annualized run-rate — already past the inflection. The market is pricing 7x forward earnings; we don't need a multiple expansion to make money — we need it to not contract from a sub-historical floor.

02

Visibility Beats Cycle

First-ever 5-year LTA in the memory industry, plus binding CY26 capacity sell-through, breaks the pattern of memory-cycle uncertainty. The asset is structurally re-rate-able, and we expect that to play out on the 12–18 month horizon.

03

Asymmetric Skew

Bull +72%, Base +34%, Bear -29% — 2.6:1 reward-to-risk. Our bear case requires CXMT leapfrogging HBM, AI capex digestion, and pricing roll-over simultaneously. Probability-weighted PT \$865.